

3) Describe the challenges and how to go forward with PPP in India?

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8.11 INSOLVENCY AND BANKRUPTCY CODE (IBC)

India's financial distress resolution mechanism is broken. Companies that fall into hard times spend six or eight years trying to resolve the situation. Banks are saddled with massive amounts of non-performing loans that are a drain on their resources and also affect their willingness to lend to new and deserving projects. Ultimately, the honest and successful companies and individuals that borrow from the banks pay for these inefficiencies in terms of higher interest rates. Over the past 20 years, there have been a number of attempts to reform India's insolvency regime. None of them have been fully effective. While one can find a number of specific reasons for their failure, the one overarching reason (at least in the case of laws) is the lack of legal infrastructure to effectively implement the laws. Our courts are overburdened, understaffed, and lack basic physical infrastructure.

In late 2014, Ministry of Finance setup the Bankruptcy Legislative Reforms Committee (BLRC), under the chairmanship of Dr T K Viswanathan (former Union law secretary), with the objective of building a full-fledged bankruptcy code. Based on the committee's recommendations, the government introduced the "Insolvency and Bankruptcy Code". After half-a-century of efforts and nine committees, insolvency in India has become easier. The IBC 2016, addresses all these endeavours to prevent insolvency, provides a market determined and time-bound mechanism for resolution of insolvency, wherever possible, along with facilitators for quick and effective resolution, and promotes ease of exit, wherever required.

In this context, it is well to remember that the economy witnessed freedom of entry in the 1990s and freedom to compete in the 2000s. The IBC Code of 2016 provides the ultimate economic freedom, freedom to exit, and a mechanism to address honest business failures..

18.12 CONCEPT AND IMPORTANCE OF IBC

Bankruptcy is a legal status usually imposed by a Court, on a firm or individual unable to meet debt obligations. As all businesses cannot succeed, it is perfectly normal for some businesses to fail, making it important to emphasise on corrective action. India's new Bankruptcy Code– "Insolvency and Bankruptcy Code, 2016" attempts to create a formal insolvency resolution process (IRP) for businesses, either by coming up with a viable survival mechanism or by ensuring their speedy liquidation. The code makes a clear distinction between insolvency and bankruptcy. The former is a short-term inability to meet liabilities during the

normal course of business. The latter is a longer-term view on the business. The code envisages a new regulator– the Insolvency and Bankruptcy Board of India. The implementation of the IBC has been one of the most important reforms in recent years. Banks and other creditors can now take the defaulting company to the National Company Law Tribunal to initiate insolvency proceedings. There is now a real chance that promoters can lose control and are no longer in a position to take creditors for a ride.

8.12.1 Objectives of IBC

The objectives of IBC are:

- i) to promote entrepreneurship,
- ii) availability of credit,
- iii) balancing interests of all stakeholders by consolidating and amending laws relating to reorganisation and insolvency resolution of corporate persons, partnership firms and individuals in a time bound manner and for maximisation of value of assets of such persons and matters connected therewith or incidental thereto.
- iv) to simplify and expedite the Insolvency and Bankruptcy Proceedings in India.
- v) to protect the interest of creditors including stakeholders in a company.

8.12.2 The Insolvency and Bankruptcy Code Ecosystem

Following are the components of IBC ecosystem:

- i) National Company Law Tribunal (NCLT) – The adjudicating authority (AA), has jurisdiction over companies, other limited liability entities.
- ii) Debt Recovery Tribunal (DRT) has jurisdiction over individuals and partnership firms other than Limited Liability Partnerships.
- iii) The Insolvency and Bankruptcy Board of India (IBBI) – apex body for promoting transparency and governance in the administration of the IBC; will be involved in setting up the infrastructure and accrediting IPs (Insolvency Professionals (IPs) & IUs (Information Utilities).
- iv) It has 10 members from Ministry of Finance, Law, and RBI.
- v) Information Utilities (IUs) – a centralised repository of financial and credit information of borrowers; would accept, store, authenticate and provide access to financial data provided by creditors.
- vi) IPs- persons enrolled with IPA (Insolvency professional agency (IPA) and regulated by Board and IPA will conduct resolution process; it will act as Liquidator/ bankruptcy trustee; they are appointed by creditors and override the powers of the board of directors.
- vii) IPs have the power to furnish performance bonds equal to assets of the company under insolvency resolutions
- viii) Adjudicating authority (AA) – would be the NCLT for corporate insolvency; to entertain or dispose of any insolvency application, approve/ reject resolution plans, decide in respect of claims or matters of law/ facts thereof.

8.12.3 Salient Features of IBC

The following are the salient features of the IBC:

- i) IBC proposes a paradigm shift from the existing “debtor in possession” to a “creditor in control” regime. An impartial law respecting rights of all creditors by acknowledging that all classes of creditors to play a vital role in the insolvency process. However, the ‘secured lenders’ will have significant influence over the reorganisation process.
- ii) The code aims to resolve insolvencies in a strict time-bound manner – the evaluation and viability determination must be completed within 180 days. Moratorium period of 180 days (extendable up to 270 days) for the Company. For start-ups and small companies the resolution time period is 90 days which can be extended by 45 days.
- iii) Introduce a qualified insolvency professional (IP) as intermediaries to oversee the Process. Insolvency professionals will assist in the resolution, liquidation and bankruptcy proceedings envisaged in the code. This will help in preserving value and time.
- iv) Provides for the setting up of “Insolvency and Bankruptcy Board of India” (IBBI) to regulate professionals/agencies dealing with insolvency and informational utilities.
- v) Emphasis on symmetry of information between creditors and debtors by ensuring availability and access to essential information to all creditors by setting up of Information Utilities as a depository of financial information.
- vi) The code allows the corporate debtor itself to initiate the insolvency–resolution process once it has defaulted on a debt. Also, operational creditors (including the Centre, State governments and local authorities) are permitted to initiate the resolution process.

The Code has a clear-cut grievance resolution mechanism for various stakeholders involved in insolvency resolution. Only the National Company Law Tribunal (NCLT), National Company Law Appellate Tribunal (NCLAT) and the Supreme Court have the jurisdiction to deal with any appeal concerning the Code. At its heart, it suggests a commercial resolution without burdening the courts excessively. It would result in a better business environment and ease in debt rising.

8.12.4 Working of IBC

The law heralds a new era in how India’s economy resolves bad debts and inconsistent treatment in resolving cases. The threat of IBC is forcing debtors to pay up, as operational creditors have recovered more than Rs. 1 lakh crore even before their insolvency applications were admitted by NCLTs.

“In over three years of the Insolvency and Bankruptcy Code, the number of bankrupt companies liquidated under the regime has far exceeded the number of corporate resolutions, by nearly four times. According to the data released by the Insolvency and Bankruptcy Board of India (IBBI), while 156 of the cases admitted under the Corporate Insolvency Resolution Process (CIRP) have been resolved